

Non-Judicial Settlement Agreement
Flanagan Family 321 Trust

Pursuant to 18-B M.R.S. Section 111 (Maine Uniform Trust Code)

Trust: Flanagan Family 321 Trust
Settlor: Dorothy E. Flanagan (deceased), Ellsworth, Maine
Date of Trust Agreement: 2005
Property: 321 Phillips Way, Ellsworth, ME 04605 (Branch Lake)
Deed Reference: TR 31 PG 07 PC 10
Trustees: John M. Flanagan and Christopher J. Flanagan, Successor Co-Trustees
Date of Agreement: _____, 2026

I. Parties

This Non-Judicial Settlement Agreement ("Agreement") is entered into by and among all interested persons of the Flanagan Family 321 Trust, as defined by 18-B M.R.S. Section 111:

Current Beneficiaries (Settlor's Living Children):

1. Mary Jean Foss
2. John M. Flanagan
3. Jane E Birckhead
4. Elizabeth Mary Young
5. Christopher J. Flanagan

Successor Beneficiaries and Forfeiting Party:

6. Jennifer Yommer (daughter of Mary Jean Foss)
7. Martha Foss (daughter of Mary Jean Foss)
8. Joseph M Birckhead (son of Jane E Birckhead)
9. Diana E Birckhead (daughter of Jane E Birckhead; forfeiting party)

Affected Persons (Granted Use Rights Under This Agreement):

10. Edward Joseph Young IV (son of Elizabeth Mary Young)
11. John Nelson Young (son of Elizabeth Mary Young)

Successor Co-Trustees:

12. John M. Flanagan
13. Christopher J. Flanagan

II. Authority

This Agreement is executed pursuant to 18-B M.R.S. Section 111 of the Maine Uniform Trust Code, which provides that interested persons may enter into a binding non-judicial settlement agreement with respect to any matter involving a trust.

18-B M.R.S. Section 111(4) provides that a non-judicial settlement agreement is valid only to the extent it does not violate a material purpose of the trust and includes terms and conditions that could be properly approved by the court under the Maine Uniform Trust Code.

The parties represent that the terms of this Agreement are consistent with the material purposes of the Trust, which include:

- a. Benefiting the Settlor's children, grandchildren, and more remote

descendants, in that order of priority (Recitals of Trust Agreement).

- b. Preserving the Camp Property for the use and enjoyment of the Settlor's descendants (Article V, Section 5.1).
- c. Protecting the Trust property from alienation to outside parties (Article VII).

All modifications herein keep the beneficial interests within the Settlor's family line and further the Settlor's expressed wishes for continued family use of the Camp Property.

III. Purpose

The parties enter into this Agreement to formalize the following modifications to the administration and beneficial interests of the Trust:

- A. The forfeiture of Elizabeth Mary Young's beneficial interest and the grant of a lifetime use right to her and her children.
- B. The transfer of Mary Jean Foss's beneficial interest to her children.
- C. The transfer of Jane E Birckhead's beneficial interest to Joseph M Birckhead, with Diana E Birckhead's forfeiture.
- D. The clarification of spousal rights upon the death of a beneficiary.
- E. The establishment of a simplified mechanism for future trustee transitions that can be completed without retaining an attorney.

Each of these matters is set forth in detail below and in the attached Exhibits.

IV. Elizabeth Mary Young Interest Forfeiture and Lifetime Use Right

A. Forfeiture

Elizabeth Mary Young voluntarily forfeits her entire beneficial interest in the Flanagan Family 321 Trust, including all rights to income distributions under Article IV, all rights to use of the Camp Property under Article V, and all voting rights as a beneficiary.

This forfeiture extends to her heirs, Edward Joseph Young IV and John Nelson Young, who likewise forfeit any current or future beneficial interest they may hold or claim in the Trust.

B. Consideration

In consideration for this forfeiture and in exchange for being released from all financial obligations under Article 5.3 of the Trust Agreement (including assessments for utilities, real property taxes, insurance, repairs, maintenance, and capital improvements), Elizabeth Mary Young, Edward Joseph Young IV, and John Nelson Young are granted the following:

1. One (1) aggregate week of summer use of the Camp Property per calendar year, for the remainder of their respective lifetimes.
2. This use right is personal and non-transferable. It may not be assigned, sold, or conveyed to any person.
3. The specific dates of use shall be requested before the beginning of each summer season. The Successor Co-Trustees will make every reasonable effort to accommodate the requested dates in coordination with the schedules of all active beneficiaries.

4. All scheduling is subject to the discretion of the Co-Trustees.

C. No Claim to Proceeds

This forfeiture includes any and all current and future claims to:

Sale proceeds, equity, or distributions should the Property be sold in whole or in part under Article 5.5 or otherwise.

Any right to purchase the Camp Property under Article 5.6.

Any right to participate in voting for or against the sale of the Camp Property under Article 5.5.

Any right to nominate or vote for the removal of a Trustee under Article 10.2.

D. Redistribution

The beneficial interest formerly held by Elizabeth Mary Young is hereby redistributed equally to the four (4) remaining branches:

Mary Jean Foss branch: additional 5%

John M. Flanagan: additional 5%

Jane E Birkhead branch: additional 5%

Christopher J. Flanagan: additional 5%

Following this redistribution, each of the four remaining branches holds a 25% beneficial interest in the Trust.

E. Re-Entry Provision

If Elizabeth Mary Young or her heirs desire to return to being active beneficiaries of the Trust in the future, paying their share of annual expenses, the then-active beneficiaries shall vote on the terms and conditions of such re-entry. Approval shall require a majority vote of the active beneficiaries at that time.

The complete terms of this forfeiture and use right are set forth in the attached Exhibit A.

V. Transfer of Beneficial Interest – Mary Jean Foss

Mary Jean Foss hereby transfers her entire 25% beneficial interest in the Flanagan Family 321 Trust to her children in equal shares:

Jennifer Yommer: 12.5% beneficial interest

Martha Foss: 12.5% beneficial interest

Effective on the date of this Agreement:

1. Jennifer Yommer and Martha Foss assume all rights of their mother's beneficial interest, including the right to use the Camp Property, the right to vote as beneficiaries, and the right to receive income distributions under Article IV.
2. Jennifer Yommer and Martha Foss assume all obligations associated with this interest, including the obligation to pay their proportionate share of expenses under Article 5.3.
3. Mary Jean Foss relinquishes her beneficial interest, voting rights, and financial obligations under the Trust.

The complete terms of this transfer are set forth in the attached Exhibit B.

VI. Transfer of Beneficial Interest – Jane E Birckhead

Jane E Birckhead hereby transfers her entire 25% beneficial interest in the Flanagan Family 321 Trust to Joseph M Birckhead, after Diana E Birckhead's voluntary forfeiture of the 12.5% beneficial interest she would otherwise have received.

Joseph M Birckhead: 25.0% beneficial interest

Diana E Birckhead: 0.0% beneficial interest

Effective on the date of this Agreement:

1. Joseph M Birckhead assumes all rights of his mother's beneficial interest, including the right to use the Camp Property, the right to vote as beneficiaries, and the right to receive income distributions under Article IV.
2. Joseph M Birckhead assumes all obligations associated with this interest, including the obligation to pay his proportionate share of expenses under Article 5.3.
3. Jane E Birckhead relinquishes her beneficial interest, voting rights, and financial obligations under the Trust.
4. Diana E Birckhead forfeits and relinquishes any current beneficial interest, voting rights, use rights, purchase rights, sale-proceeds claims, and financial obligations she may hold or claim through Jane E Birckhead's branch, subject only to the re-entry provision stated in Exhibit C.

The complete terms of this transfer are set forth in the attached Exhibit C.

VII. Clarification of Spousal Rights

The Trust Agreement does not specifically address the rights and responsibilities of the spouses of beneficiaries upon the death or incapacity of a beneficiary. Article 5.7 references a deceased beneficiary's "heirs" but does not define the term or clarify spousal succession.

The parties agree to the following clarification:

A. Spousal Inheritance

In the event of the death of an active beneficiary who has no living heirs or no adult heirs at the time of death, the surviving spouse of that beneficiary shall inherit:

1. The deceased beneficiary's beneficial interest in the Trust.
2. All rights associated with that interest, including the right to use the Camp Property and the right to vote as a beneficiary.
3. All obligations associated with that interest, including the obligation to pay the proportionate share of expenses under Article 5.3.

B. Continuation of Family Line

Upon the death of the surviving spouse, or if the surviving spouse chooses to no longer participate in the Trust, the beneficial interest shall pass to the children (descendants) of the original beneficiary.

C. No Heirs or Descendants

If the original beneficiary has no children or descendants, and the surviving spouse has died or is no longer participating, the beneficial interest shall be redistributed equally among the remaining active beneficiaries of the Trust.

D. Interaction with Article 5.7

This clarification is intended to supplement, not replace, Article 5.7. The right of first refusal provisions in Article 5.7 (offering a deceased beneficiary's interest first to the Trust, then to remaining beneficiaries) remain in effect. This clarification addresses only the succession of interests that are not purchased under Article 5.7.

The complete terms of this clarification are set forth in the attached Exhibit D.

VIII. Simplified Future Trustee Succession

To minimize future legal costs and administrative delays, the parties agree to establish a simplified, repeatable process for any future change in trustees. This mechanism allows the active beneficiaries to elect successor trustees, execute the required documents, and record the change at the Hancock County Registry of Deeds without retaining an attorney.

The process requires:

1. A written Resignation of Trustee (or documentation of vacancy due to death or incapacity) delivered to all active beneficiaries.
2. A majority vote of the active beneficiaries to elect the successor trustee(s), documented in a written Record of Beneficiary Vote with signatures.
3. A written acceptance by the successor trustee(s).
4. The execution and recording of a new Affidavit of Successor Trustee in the Hancock County Registry of Deeds pursuant to 18-B M.R.S. Section 1013.
5. Per Article 12.1 of the Trust Agreement, a copy of such instruments certified by a notary public shall be deemed sufficient proof of authority for all third parties (banks, insurance companies, and government agencies).

The current Co-Trustees shall maintain template documents from this transition (Phases 1-3) to serve as a self-service toolkit for future transitions.

This mechanism also establishes a process for the removal of a trustee by majority vote of the active beneficiaries, with a 30-day response period for the trustee whose removal is sought.

The complete terms of this mechanism are set forth in the attached Exhibit E.

IX. Updated Ownership Structure

Following the execution of this Agreement, the beneficial interests in the Flanagan Family 321 Trust shall be as follows:

John M. Flanagan 25.0%
Christopher J. Flanagan 25.0%
Jennifer Yommer 12.5%
Martha Foss 12.5%
Joseph M Birckhead 25.0%

Total 100.0%

Elizabeth Mary Young, Edward Joseph Young IV, and John Nelson Young:

Lifetime use right of one (1) aggregate week per summer.
No beneficial interest. No voting rights. No financial obligations.
Mary Jean Foss: No beneficial interest (transferred to children).
Jane E Birckhead: No beneficial interest (transferred to children).

X. Active Beneficiaries and Voting

Following this Agreement, the active beneficiaries entitled to vote on Trust matters shall be:

1. John M. Flanagan (25%)
2. Christopher J. Flanagan (25%)
3. Jennifer Yommer (12.5%)
4. Martha Foss (12.5%)
5. Joseph M Birckhead (25%)

A majority of the active beneficiaries shall be required for any vote under the Trust Agreement unless the Trust Agreement specifies a different threshold.

XI. Governing Law

This Agreement shall be governed by the laws of the State of Maine, including the Maine Uniform Trust Code (18-B M.R.S.), consistent with Article XIII of the Trust Agreement.

XII. Severability

If any provision of this Agreement is found to be invalid or unenforceable, the remaining provisions shall continue in full force and effect.

XIII. Entire Agreement

This Agreement, together with its attached Exhibits, constitutes the complete agreement of the parties with respect to the matters addressed herein. This Agreement supplements the Flanagan Family 321 Trust Agreement dated 2005 and does not replace or revoke it except as specifically modified herein.

XIV. Exhibits

The following Exhibits are attached to and incorporated into this Agreement:

- Exhibit A: Elizabeth Mary Young Forfeiture and Lifetime Use Right Agreement
- Exhibit B: Transfer of Beneficial Interest – Mary Jean Foss to
Jennifer Yommer and Martha Foss
- Exhibit C: Transfer of Beneficial Interest – Jane E Birckhead to
Joseph M Birckhead, with Diana E Birckhead forfeiture
- Exhibit D: Spousal Rights Clarification
- Exhibit E: Simplified Future Trustee Succession Mechanism

XV. Signatures

Each undersigned party acknowledges that they have read and understand the terms of this Agreement, that they have had the opportunity to consult with independent legal counsel, and that they execute this Agreement voluntarily.

Current Beneficiaries:

Mary Jean Foss

Signature: _____

Date: _____

Address: _____

John M. Flanagan

Signature: _____

Date: _____

Address: _____

Jane E Birckhead

Signature: _____

Date: _____

Address: _____

Elizabeth Mary Young

Signature: _____

Date: _____

Address: _____

Christopher J. Flanagan

Signature: _____

Date: _____

Address: _____

Successor Beneficiaries and Forfeiting Party:

Jennifer Yommer

Signature: _____

Date: _____

Address: _____

Martha Foss

Signature: _____

Date: _____

Address: _____

Joseph M Birckhead

Signature: _____

Date: _____

Address: _____

Diana E Birckhead

Signature: _____

Date: _____

Address: _____

Affected Persons:

Edward Joseph Young IV

Signature: _____

Date: _____

Address: _____

John Nelson Young

Signature: _____

Date: _____

Address: _____

Successor Co-Trustees:

John M. Flanagan, Successor Co-Trustee

Signature: _____

Date: _____

Christopher J. Flanagan, Successor Co-Trustee

Signature: _____

Date: _____

Notary Acknowledgement

STATE OF _____

COUNTY OF _____

On _____, 2026, before me, _____ (Notary Public), personally appeared the individuals whose signatures appear above, who proved to me on the basis of satisfactory evidence to be the persons whose names are subscribed to the within instrument and acknowledged to me that they executed the same voluntarily and in their authorized capacities.

I certify under PENALTY OF PERJURY under the laws of the State of _____ that the foregoing paragraph is true and correct.

WITNESS my hand and official seal.

Signature: _____ (Seal)

Print Name: _____

My Commission Expires: _____